

Aircraft lessors go big at Farnborough

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Navigating the complex world of EU mobility policy and infrastructure. By JORDYN DAHL with MARTINA SAPIO and TOMMASO LECCA SNEAK PEEK — While airlines

Navigating the complex world of EU mobility policy and infrastructure.

By JORDYN DAHL

with MARTINA SAPIO and TOMMASO LECCA

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SNEAK PEEK

— While airlines are holding back from placing major aircraft orders, aircraft leasing companies are filling the gap.

— Chinese automakers are already gaining ground in Thailand, one of the world's emerging car markets where European brands will need to compete.

— Replacing Huawei in Europe's telecom networks could cost up to €40 billion, with mobile operators warning the higher costs would ripple through transport systems increasingly dependent on 5G connectivity.

Good morning, and welcome to Morning Mobility.

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DRIVING THE DAY

AIRCRAFT LESSORS PLACE BIG ORDERS AT FARNBOROUGH: Aircraft leasing companies have emerged as the biggest customers for planemakers at the Farnborough International Airshow. Most major airlines stayed on the sidelines, largely because they are still waiting for aircraft ordered in previous years.

During the first three days of the weeklong exhibition, the two largest deals came from aircraft lessor SMBC Aviation Capital, which ordered 100 aircraft each from Boeing and Airbus . Leasing firm AerCap ordered 15 Boeing aircraft on Tuesday, after signing a 100-aircraft deal with Airbus earlier this year.

Lessors buy the planes from manufacturers like Airbus and Boeing, then lease them to airlines, instead of carriers putting up large amounts upfront to buy aircraft outright. Airlines can also opt for a "wet lease" contract, where they also receive an entire crew to operate the aircraft.

A neglected sector: "A lot of people don't realize that over 50 percent of all aircraft in the world are owned by leasing companies. I see room for that to grow even more," Azorra Aviation CEO John Evans told Tommaso. Azorra announced Tuesday an agreement with Embraer for up to 30 aircraft — 20 firm orders and 10 purchase rights.

Too much demand: Azorra leases both passenger and cargo aircraft, with the cargo business playing an increasingly important role. “We see more demand in the market than what Embraer can produce,” Evans said, referring to the Brazilian manufacturer’s cargo aircraft supply.

Back to passengers: Evans sees continued growth in passenger traffic and the capital-intensive nature of aircraft ownership as the main drivers of the expanding leasing market, which gives airlines the flexibility to meet seasonal peaks in demand without tying up large amounts of capital.

Larger picture: “These orders are not just decisions that are made a week before the airshow,” said Augusto Viansson Ponte, London director at Alton Aviation Consultancy. “A lot of airlines put in some massive orders over the past few years,” he added.

Now it’s the lessors’ turn, the analyst said, noting that these companies will use their planes to bridge the offer gap from airlines as long as supply chain constraints continue to limit aircraft availability.

Old but gold: “The production rates collapsed post-Covid ... So your old technology [aircraft] had to stay much longer than was envisaged,” Viansson Ponte said.

Widebody shortage: Demand for widebody aircraft is also outstripping supply, the analyst said. Based on expected growth in long-haul travel and current production capacity, there is a “150-aircraft gap” between demand and supply, he said — more than a year’s worth of global widebody production.

CARS

THAILAND NEXT HOT SPOT FOR CHINESE AUTOMAKERS: Chinese electric vehicles are gaining market share in Thailand, aided by a generous EV subsidy program and free-trade agreement. Chinese automakers accounted for just 4 percent of the Thai market in 2021 but now have nearly 30 percent of the market share, according to a new report from Rhodium Group out today and seen ahead of time by POLITICO.

Look alive, trade negotiators: Chinese brands benefit from a 2003 free-trade deal that allows China-made electric vehicles into the country tariff-free. Japan, which has historically provided the most cars to Thailand, has a 20 percent tariff. EU-made cars, meanwhile, face a steep tariff rate of 80 percent. European lawmakers restarted negotiations with Thailand in 2023 to ink a deal, with talks ongoing.

But, but, but: Japanese automakers manufacture in Thailand and use it as an export hub, sending vehicles to Australia, the Middle East and elsewhere. Any Chinese brands setting up shop in Thailand could do the same and send cars to Europe if the EU-Thailand trade agreement gets finalized, the report says.

Why it matters: Thailand is considered one of Southeast Asia’s most lucrative manufacturing and export hubs. With sales in Europe flatlining and market share declining in China, automakers need a new market to sell into. In other words, it’s not just Chinese automakers looking for new consumers. European automakers will also need to be competitive in Southeast Asia and other emerging markets.

This sounds familiar: The surge in automotive imports from China is having a similar effect on Thailand as in Europe with the sector warning Thai authorities that jobs could be at risk if local content measures, technology transfers and other regulations are not put into place. The European Commission wants to implement similar regulations through the Industrial Accelerator Act, though Europe’s automotive sector is divided on its support, with suppliers in favor and automakers largely against.

BMW PULLS OUT OF PARIS AUTO SHOW: The German automaker will no longer attend the Paris auto show in October, BMW announced this week. A spokesperson attributed the change to a reprioritizing “of our activities” after the automaker posted a profit warning in June and announced it would be culling 7,700 jobs.

CHINESE BRANDS TAKE OFF IN EUROPE: Sales of Chinese cars surged nearly 63 percent in the first half of this year compared with the same period in 2025, growing from 337,646 cars sold to 548,829 across all Chinese brands, according to the latest sales data from car lobby ACEA. The brands include BYD, Leapmotor, SAIC, Chery and Geely, which also owns Volvo.

The standout: Leapmotor saw the biggest growth, going from just 7,701 sales in the first half of 2025 to 48,261 this year. The Chinese automaker has a joint venture with Stellantis that has allowed it to use the French-Italian-American manufacturing facilities in Spain and Poland and shows Leapmotor cars at Stellantis showrooms in Europe.

Sales on the rise: Overall, car sales increased 5.7 percent in the first half of this year, the data shows. Electric vehicles now hold about 21 percent market share, and hybrids account for 37 percent. Diesel and petrol sales continued to decline.

TRANSPORT

HUAWEI BAN COULD DRIVE UP CONNECTED TRANSPORT COSTS: Replacing Huawei and other high-risk vendors in Europe’s telecom networks could cost €30 billion to €40 billion — up to four times the Commission’s estimate — with mobile operators warning the higher costs would ripple through transport systems increasingly dependent on 5G connectivity, including rail signaling, connected vehicles and other smart mobility infrastructure.

The debate: mobile industry association GSMA said in a new report that replacing high-risk vendors would cost €16 billion to €22 billion for mobile networks, plus €5 billion for fixed networks and €9 billion to €12 billion for transport networks. The Commission’s estimate is closer to €10 billion to €13 billion in total.

EVS KEEP POWER DEMAND SURGING: Electric vehicles are becoming one of Europe’s biggest drivers of electricity demand, with the International Energy Agency forecasting in a new report out today and seen ahead of time by POLITICO that road transport will account for one-third of the EU’s additional power consumption in 2026 as electrification accelerates. EV sales rose more than 30 percent across the bloc in the first five months of the year, led by Italy, Spain, France and Germany.

Charging up: The IEA expects transport to add 30 TWh of electricity demand in the EU between 2025 and 2027. Electricity consumed by road transport is projected to rise from 1.6 percent of total EU power demand last year to 2.6 percent by 2027, underlining the growing impact of EVs on Europe’s electricity system.

Energy security: The report says transport electrification helped sustain electricity demand despite the disruption to LNG shipments through the Strait of Hormuz, although higher gas prices also prompted some countries to temporarily switch from gas back to coal for power generation. Renewables nevertheless continued to cushion the shock, with the IEA forecasting they will supply 76 percent of EU electricity by 2027.

RAIL

ILVES RAISES RAIL BALTICA STAKES: Former Estonian President Toomas Hendrik Ilves has accused Latvia of steering Rail Baltica toward a “catastrophe” through either incompetence or “Orbán-style corruption,” and called for the EU’s anti-fraud office OLAF and the European Public Prosecutor’s Office to investigate.

The backdrop: Ilves was reacting to a joint appeal by the Estonian, Latvian and Lithuanian chambers of commerce urging the three governments to treat Rail Baltica as a shared strategic priority. The business groups warned that delays on Latvia’s section threaten the entire cross-Baltic corridor, which they described as critical for military mobility, regional competitiveness and European security.

PIT STOPS

A U.S. Senate committee approved legislation that would further restrict Chinese cars from entering the U.S. The bill would potentially limit Mercedes-Benz’s access to the market as well, because of a nearly 20 percent Chinese investment in the German automaker.

Ryanair announced that it will withdraw five aircraft from its Charleroi Airport base in response to the increase in Belgian aviation taxes to €7 per passenger.

Headlines

Here’s a recap of yesterday’s news, along with Pro articles and alerts from overnight.

‘Falling apart’: Trump’s Boeing deal hits turbulence with Beijing

China’s demands for parts and service guarantees to avoid the impact of possible future U.S. export restrictions has stymied a purchase agreement.

By Phelim Kine, Ari Hawkins · Jul 22, 2026, 11:57 pm Europe/Brussels CEST

EU countries weigh fresh plan to salvage Russia sanctions package

Ambassadors will discuss a new proposal Thursday after Greece refused to back the package — which requires unanimous support — over a gas shipments issue.

By Koen Verhelst, Gabriel Gavin · Jul 22, 2026, 08:15 pm Europe/Brussels CEST

Trump threatens retaliatory strikes on key Iranian infrastructure as conflict escalates

The president proclaimed that any type of Iranian attack on vessels traveling through the waterway would trigger a corresponding American strike on key infrastructure.

By Liset Cruz · Jul 22, 2026, 04:45 pm Europe/Brussels CEST

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